Note – The following section in italics would not form part of the answer to the question set as the question requirement only requires the presentation of a list of substantive tests. This section is only intended to illustrate, as a learning aid, the planning considerations that could be applied when planning and designing an answer to this requirement.

1. ***RoMM***. *High due to weak control environment and complexities of fund accounting. Analytical review specifically excluded in scenario text but in any case, an approach weighted towards thorough tests of detail would be required.*

2. Accounting policies. *Payroll expense recognised as work is completed, on accruals basis. Payroll runs calculated based on contracted terms and hours worked, recorded on timesheets to calculate amount payable each week. Charity must debit correct fund, given the constraints on the restricted fund. Glama achieves this through a manually calculated allocation journal. Payroll runs (cash basis) reconciled to payroll expense (accruals basis) at year end.*

3. Assertions to be tested. *Payroll is an expense account, so the relevant assertions are C, O, CO, A, Cl, and P. Riskier assertions for expenditure accounts are normally C and CO but, given complexities of fund accounting and fraud risks associated with payroll, Cl and O are also risky in this case.*

4. Common procedures. *Aside from analytical review, which is specifically excluded, common procedures for payroll include payroll reconciliation testing and joiners and leavers testing.*

List of tests:

Payroll reconciliation

- Obtain the year-end payroll reconciliation (rec) and obtain supporting evidence for a sample of reconciling items. **2 marks**

Joiners and leavers testing

- For a sample of joiners from the payroll listing, inspect HR records to confirm that there is a matching employment contract on file **2 marks**
- For a sample of leavers from the HR records, inspect payroll listing and confirm that they were removed from system and not paid thereafter **2 marks**
- Equivalent testing for understatement of payroll for joiners (contract to payroll) and leavers (payroll listing leavers to resignation letter or P45 document) **2 marks.**

Payroll listing

- For a sample of payroll transactions on the payroll listing, inspect authorised timesheet and confirm the work paid for was performed**. 2 marks.**
- For a sample of authorised timesheets, inspect payroll listing and confirm matching payroll expense recorded**. 2 marks**
- Recalculate payroll based on hours recorded per the timesheets and contracted rate of pay, and compare to that recorded on payroll listing. **2 marks**

Testing cut off

- For a sample of authorised timesheets dated either side of the year-end, confirm that the payroll expense has been correctly included in/excluded from the correct year. **2 marks**

Fund allocation journal

- Use audit data analytics to identify any cases where the weekly allocation journal has been omitted, duplicated, or differs significantly from typical values. Investigate and corroborate reasons for any exceptions. **2 marks**
- For a sample of weekly allocation journals review supporting spreadsheets to confirm that the allocation was based on proportions of time spent and that the allocation resulted in the correct amounts being classified to each fund. **2 marks**
- Obtain a breakdown of costs allocated to the restricted fund and trace a sample of transaction to source evidence (timesheet) to confirm that work was performed in relation to alpacas only. **2 marks**